MalikTrades

VWAP AND ATR

Fair value, stretch and stop size

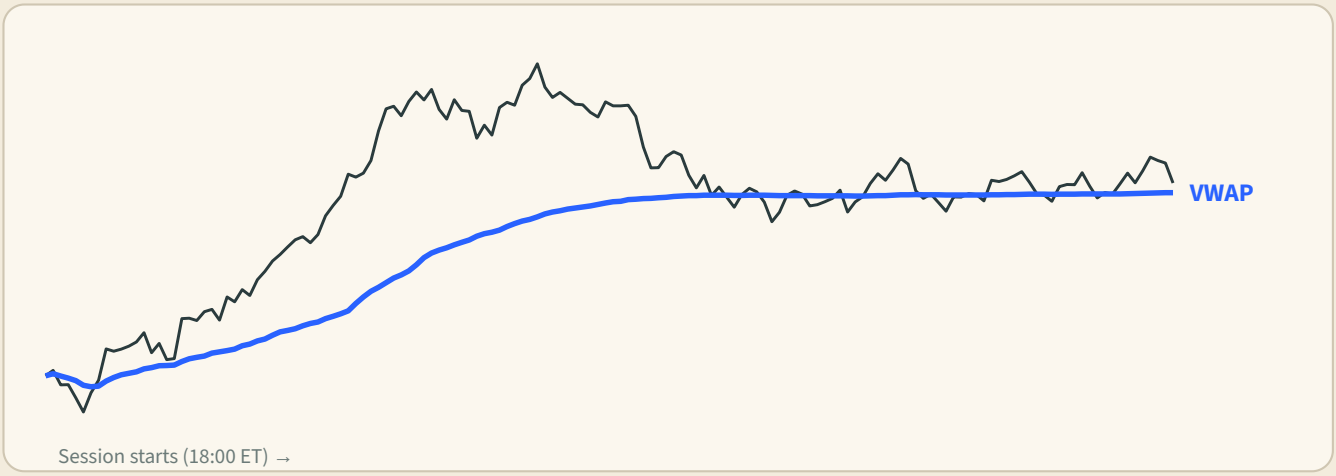
VP ACADEMY · 06

PART 01

What VWAP Is

The session's average price, weighted by volume.

VWAP stands for volume-weighted average price. It takes every price traded this session and averages them, giving more weight to the prices where more volume traded. The result is one line: the average price everyone has paid today.



It resets every session (we anchor it to **Session**, so on CME futures it starts fresh at 18:00 ET) and moves with price as the day builds.

VWAP

The **average** price of the session, weighted by volume. A moving line that shifts with every trade.

POC

The **single price** with the most volume. A level that only moves when a new price becomes the busiest.

SETTINGS RECAP

Anchor Period: Session. Source: (H + L + C) / 3. Bands: Standard Deviation, multipliers 1, 2 and 3. Full walkthrough in VP Academy #01: Chart Setup.

KEY TAKEAWAY

Both measure fair value. The POC is where the most business got done. VWAP is the average price it got done at.

PART 01

The Three Bands

How stretched price is from fair value.

Around VWAP we plot three bands on each side, at 1, 2 and 3 standard deviations. In plain terms, a standard deviation is how far price usually wanders from VWAP this session. The bands are built from the session's own volatility, so they widen on busy days and tighten on quiet ones.



1. **Inside band 1:** price is close to the session's average. Normal rotation.
2. **Out at band 2:** price is stretched away from fair value.
3. **Out at band 3:** price is very stretched. It's travelled a long way from where the session's business has been done.

Think of it like your developing profile

VWAP	is like the **dPOC**: the centre of today's fair value.
Bands	are like the **dVAH and dVAL**: the edges of value. Above the upper bands is expensive, below the lower bands is cheap.

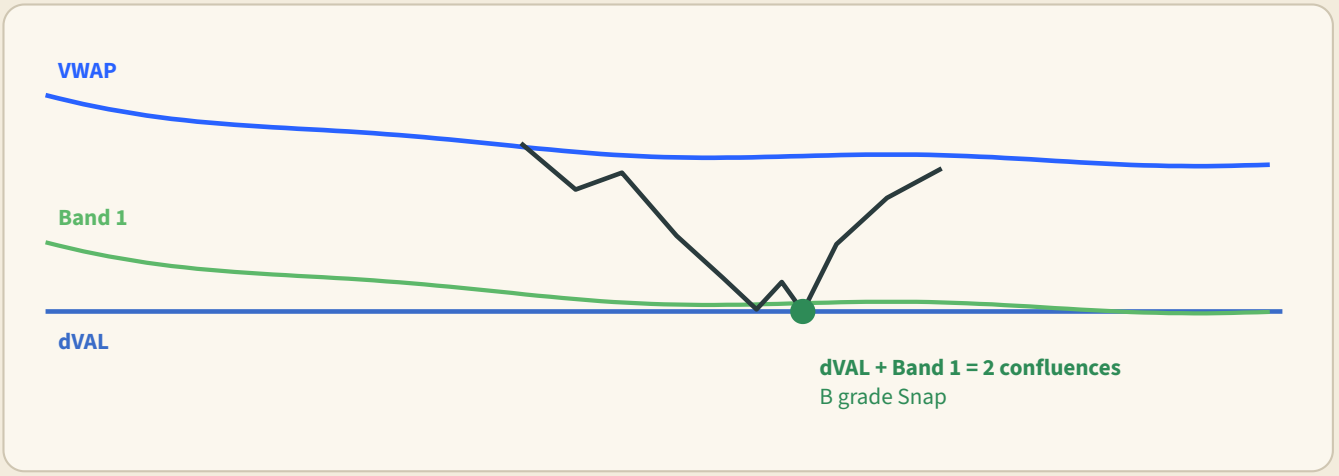
They're calculated differently, so they won't sit on the same prices. But they answer the same question: where is fair value, and how far has price stretched from it?

PART 01

How We Use VWAP

A confluence, never a trade on its own.

VWAP and the bands don't give us trades. Our levels do. VWAP's job is to make a level **stronger** when it lines up with one.



Counts as a confluence

VWAP or any of its bands sitting on your level adds **one confluence** to your grade.

Price is reaching your level and is stretched from the session average at the same time, so more traders are watching that price.

Not a setup on its own

VWAP or a band with no level behind it is **not a trade**.

No level, no setup. The bands only ever add to a level you already have marked.

KEY TAKEAWAY

VWAP adds to a level. It never replaces one.

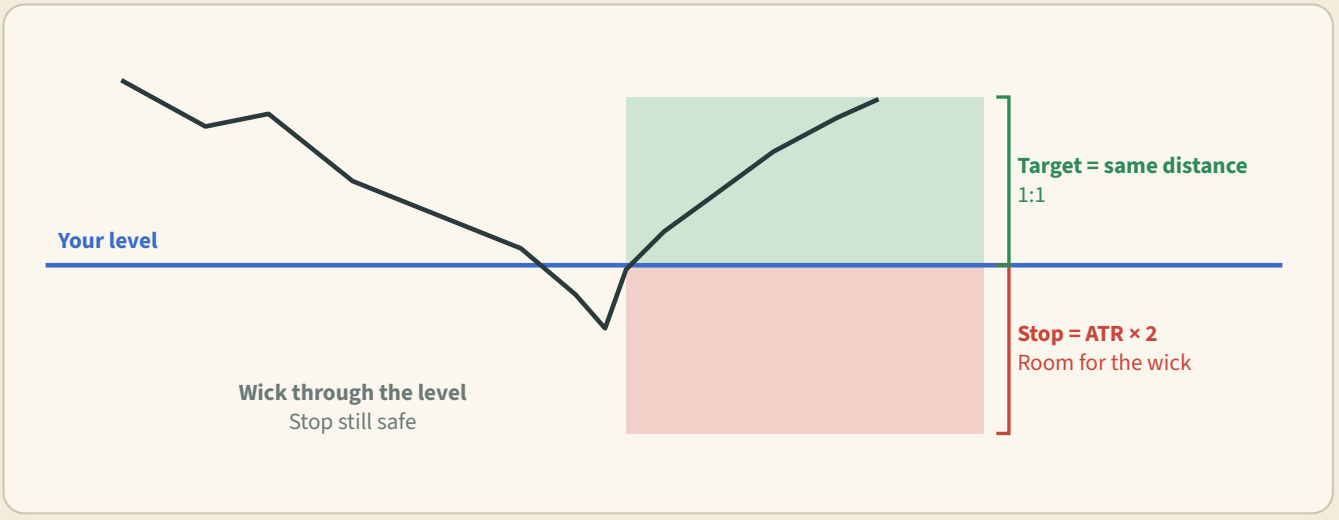
PART 02

What ATR Is

How big a candle usually is right now.

ATR stands for average true range. It measures how much price typically moves in one candle, including any gaps. We set it to **60 with RMA smoothing**, so on the 1-minute chart it's roughly the average candle size over the last hour. The reading is in **points**, so ATR × 2 gives you your stop in points.

Stop loss = ATR × 2 points



ATR tells you how much room a trade needs. Doubling it gives the trade room to **breathe**: if price wicks through your level before reacting, your stop is still outside the noise. With 1:1 targets, your target is the same distance the other way.

EXAMPLE	ATR READING	ATR × 2 STOP	POINT VALUE	RISK PER CONTRACT
Gold	2.1	4.2 points	GC $100 · MGC $10	GC $420 · MGC $42
Oil	0.05	0.10 points	CL $1,000 · MCL $100	CL $100 · MCL $10

PART 02

When We Use ATR × 2

It depends on the instrument.

Gold and Oil: use it

GC and CL are more volatile. Price often wicks through a level before it reacts, so the trade needs **more room to breathe**.

ATR × 2 is my stop on these.

NQ: not strictly

NQ usually **respects the level** without much drawdown, so it doesn't need as much room.

I don't use ATR × 2 strictly on NQ.

READ IT AT ENTRY

ATR changes through the day. It's small in quiet hours and grows when volatility picks up, so read the number at the moment you enter, not from earlier in the session.

KEY TAKEAWAY

ATR × 2 sets your stop, so your stop is never a guess.

Education only, not financial advice.